

25SMCV04054 25SMCV04054

County: los-angeles

Division: Civil Law and Motion

Department: M

Hearing date: 2026-07-22

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SM%20%2CM%2C07%2F22%2F2026

Source SHA-256: 8d1a62328960fa56173f734fd3721f1584f452ce4ddd324e9fd105b34264d27e

Case Number: 25SMCV04054 Hearing Date: July 22, 2026 Dept: M

CASE NAME: Alexander v. Netradyne Inc.

CASE NO.: 25SMCV04054

MOTION: Demurrer and Motion to Strike the First Amended Complaint

HEARING DATE: 7/22/2026

LEGAL STANDARD

A demurrer for

sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (CCP §§ 430.30, 430.70.) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732, internal citations omitted.)

A special demurrer for

uncertainty is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (CCP § 430.10(f); *Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, “ambiguities can be clarified under modern discovery procedures.” (Ibid.)

Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof. (CCP § 435(b)(1); Cal. Rules of Court, Rule 3.1322(b).) The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (CCP §§ 436(a)-(b); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”].)

“Liberality in permitting amendment is the rule, if a fair opportunity to correct any defect has not been given.” (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227.) It is an abuse of discretion for the court to deny leave to amend where there is any reasonable possibility that plaintiff can state a good cause of action. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) The burden is on plaintiff to show, in what manner, plaintiff can amend the complaint, and how that amendment will change the legal effect of the pleading. (Id.)

ANALYSIS

Defendant Netradyne, Inc., demurs to the second, sixth, and seventh causes of action stated in Plaintiff Ethan Alexander's (“Plaintiff”) First Amended Complaint (“FAC”). Defendant also moves to strike certain allegations in the FAC, including allegations regarding the Palisades Fire, Pre-Offer Representations, Attorneys' Fees, and Punitive Damages.

Request for Judicial Notice

Defendant's unopposed request is GRANTED.

Fraudulent Inducement

Defendant asserts that

the fraud cause of action is barred by the integration clause in the subject agreement and the parol evidence rule. Even if the alleged misrepresentations made prior to entry of the agreement contradict the terms of the written agreement, the parol evidence rule does not apply to fraud claims. CCP section 1856(a), (g) and (f) states in relevant part:

Terms

set forth in a writing intended by the parties as a final expression of their agreement with respect to the terms included therein may not be contradicted by evidence of a prior agreement or of a contemporaneous oral agreement. [...] Where the validity of the agreement is the fact in dispute, this section does not exclude evidence relevant to that issue. [...] This section does not exclude other evidence of the circumstances under which the agreement was made or to which it relates, as defined in Section 1860, or to explain an extrinsic ambiguity or otherwise interpret the terms of the agreement, or to establish illegality or fraud.

This section “establishes

a broad exception to the operation of the parol evidence rule: ‘Where the validity of the agreement is the fact in dispute, this section does not exclude evidence relevant to that issue.’ This provision rests on the principle that the parol evidence rule, intended to protect the terms of a valid written contract, should not bar evidence challenging the validity of the agreement itself. ‘Evidence to prove that the instrument is void or voidable for mistake, fraud, duress, undue influence, illegality, alteration, lack of consideration, or another invalidating cause is admissible. This evidence does not contradict the terms of an effective integration, because it shows that the purported instrument has no legal effect.’ [Citations.]” (Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn. (2013) 55 Cal.4th 1169, 1174-75.) Defendant also contends that the exception only applies where the plaintiff challenges the validity of the agreement itself. Plaintiff does so here. Plaintiff alleges that the parties “entered into an oral and implied-in-fact agreement for employment on specific compensation terms, including commissions at a rate of 10% of total contract value.” (Compl., ¶ 84.) With this allegation, Plaintiff effectively requests enforcement of the oral/implied contract terms, with commissions at 10% of the total contract value, rather than any potential limitations found in the terms of the written agreement.

Second, Defendant

challenges the reasonableness of Plaintiff's reliance on the alleged representations considering the written terms of the agreement. The elements of fraud are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Charnay v. Cobert (2006) 145 Cal.App.4th 170, 184.) In California, fraud must be pled with specificity. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) "The particularity demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered." (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1469.)

"The reasonableness of the reliance is ordinarily a question of fact. However, whether a party's reliance was justified may be decided as a matter of law if reasonable minds can come to only one conclusion based on the facts." (Guido v. Koopman (1991) 1 Cal.App.4th 837, 843, internal citations omitted.) Reasonableness of the plaintiff's reliance is judged by reference to the plaintiff's knowledge and experience, and whether circumstances were such to make it reasonable for plaintiff to accept defendant's statements "without an independent inquiry or investigation." (OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp. (2007) 157 Cal.App.4th 835, 864.)

Reliance

may be unreasonable as a matter of law when oral representations are at odds with the provisions of the written contract. (See Hadland v. NN Invs. Life Ins. Co., (1994) 24 Cal. App. 4th 1578 [plaintiffs' reliance on an oral representation that their new insurance policy provided coverage as good or better than their prior policy was unjustified as a matter of law, because the written policy's schedule of benefits expressly and unambiguously provided maximum benefit caps that were inconsistent with the oral representation].) Where the written terms are clear and unambiguous, and directly contradict the oral promises, a reasonable person would have read the contract and discovered the contradiction, making reliance on the oral promises unreasonable as a matter of law. (Hadland, supra, 24 Cal. App. 4th at 1586; but see Orozco v. WPV San Jose, LLC, (2019) 36 Cal. App. 5th 375, 392 [failure to read the contract does not automatically defeat the reliance element where, even if the plaintiff had read the contract, plaintiff would not necessarily have been

alerted to the defendant's false representations].) Defendant cites several cases affirming this basic principle in the employment context, generally regarding continuing versus at-will employment. (See *Slivinsky v. Watkins-Johnson Co.* (1990) 221 Cal.App.3d 799, 807 [“alleged reliance on Watkins–Johnson’s oral promises of continuing employment is simply not justifiable because the representations contradict the parties’ integrated employment agreement which provided that the employment was at will”]; *Shapiro v. Wells Fargo Realty Advisors* (1984) 152 Cal.App.3d 467, 482 [the allegations were conclusory and plaintiff “could not have reasonably relied on any implied promise by Wells Fargo which contradicted the express provisions of the written stock option agreement which he signed.”]; *Agosta v. Astor* (2004) 120 Cal.App.4th 596, 606 [no justifiable reliance on “a collateral promise of long-term employment because the ‘at-will’ provision superseded any prior or contemporaneous agreement at variance with that term. But he could justifiably rely on the written promises regarding compensation terms”]; *Dore v. Arnold Worldwide, Inc.* (2006) 39 Cal.4th 384, 393–394 [“the letter did not contain promises of long-term employment or that termination would be only for cause; AWI expressly and unambiguously stated that Dore’s employment was at will”].)

The alleged oral promises do not entirely contradict the May 2023 letter even though there are some potential inconsistencies between the oral pre-offer employment discussions alleged in paragraphs 1, 2, and 16-21 of the FAC and the May 2023 offer letter attached as Exhibit A to Plaintiff’s original complaint. The offer letter provided some compensation terms, including that Plaintiff would be “eligible for the company standard commission plan for sales reps with a target commission of up to \$175,000.00 payable annually based on quota.” (RJN Ex. A, § 2.) However, the offer letter does not provide commissions at any particular rate or state whether the rate would be based on the total contract value as allegedly represented. The letter only makes a vague reference to a standard commission plan, but the record does not reveal any standard commission plan effective in 2023. Plaintiff also argues that the offer letter’s reference to a “target commission of up to \$175,000.00 payable annually based on quota” is ambiguous, and does not establish a cap as a matter of law. For pleading purposes, the court agrees that the written contract is reasonably susceptible to Plaintiff’s interpretation. (See *George v. Automobile Club of So. Cal.* (2011) 201 Cal.App.4th 1112, 1128 [on demurrer, the court must consider the sufficiency of the allegations, including any parol evidence allegations, to determine whether the contract is reasonably susceptible to the plaintiff’s alleged interpretation]; *Performance Plastering v. Richmond American Homes of Cal., Inc.* (2007) 153 Cal.App.4th

659, 672 [courts will defer to plaintiffs' reasonable interpretations].) The contract states that he would be "eligible for the company standard commission plan for sales reps with a target commission of up to \$175,000.00 payable annually based on quota." (RJN Ex. A, emphasis added.) The term "target" could mean that the "up to \$175,000.00" is not a cap on the total commissions earned, but a cap on the target expected by Defendants of the commissions earned. Thus, this term may establish the upward boundary of a quota, rather than a hard cap to all annual commissions Plaintiff could earn. Moreover, even if this effectively caps Plaintiff's annual commissions, the terms do not otherwise contradict the oral promises of specific rates and measures of commissions. Thus, the proper interpretation of the contract could depend on the oral representations concerning the commission earnings.

Accordingly, the demurrer is OVERRULED as to this cause of action.

Wrongful Termination

"The elements of a claim for wrongful discharge in violation of public policy are (1) an employer-employee relationship, (2) the employer terminated the plaintiff's employment, (3) the termination was substantially motivated by a violation of public policy, and (4) the discharge caused the plaintiff harm." (Nosal-Tabor v. Sharp Chula Vista Medical Center (2015) 239 Cal.App.4th 1224, 1234-35, quotations omitted.) "A discharge is actionable as against public policy if it violates a policy that is: '(1) delineated in either constitutional or statutory provisions; (2) 'public' in the sense that it 'inures to the benefit of the public' rather than serving merely the interests of the individual; (3) well established at the time of discharge; and (4) 'substantial' and 'fundamental.'"" (Id. at 1238-39, quotations omitted.)

Defendant argues that Plaintiff's admission that he was "unable to return to work," and was then terminated for "abandonment of his job responsibilities," does not meet the standard for pleading this Tameny claim. (FAC ¶¶ 64, 65, 116, 132.) Defendant reasons that Plaintiff's inability and/or refusal to return to work was "caused by the voluntary action of [Plaintiff as the employee] or by conditions or matters beyond [Defendant Netradyne's as the employer] reasonable control." (Turner v. Anheuser-Busch, Inc. (1994) 7 Cal.4th 1238, 1248.) However, Defendant

completely controlled Plaintiff's leave. Moreover, Defendant's reasoning for declining leave and requiring Plaintiff to return to work was allegedly pretextual. (FAC ¶ 9.) In reality, Defendant was allegedly punishing Plaintiff for seeking clarification of his commissions, in violation of specific sections of the Labor Code. (FAC ¶¶ 95-138.)

Accordingly, the
demurrer is OVERRULED.

Constructive Discharge

Defendant argues that the constructive discharge claim fails because the claim requires Plaintiff to have quit rather than be fired. (Vasquez v. Franklin Management Real Estate Fund, Inc. (2013) 222 Cal.App.4th 819, 827; see Turner, supra, 7 Cal.4th at 1246 ["an employee cannot simply 'quit and sue,' claiming he or she was constructively discharged"].) Indeed, Plaintiff does not allege that he was forced to resign. (FAC ¶¶ 149-152.) Instead, Plaintiff's employment was terminated by Defendant. (FAC ¶ 64.)

Accordingly, the demurrer is SUSTAINED
without leave as to this cause of action.

Motion to Strike – Re: Palisades Fire

Defendant argues that the FAC contains many, many
"irrelevant" and/or "improper" paragraphs and/or portions thereof "not drawn or filed in conformity with the laws of this state," including those relating to the so-called "Palisades fire," the loss of Plaintiff's home in that fire, and its asserted impact on Plaintiff's family. These allegations provide context/background for his employment-based allegations, including the wrongful termination claims. Additionally, the allegations provide additional support for the alleged emotional distress.

Accordingly, the motion to strike is DENIED as to
these allegations.

Motion to Strike – Re: Pre-Offer Representations

Defendant

moves to strike certain allegations that Plaintiff relied on pre-offer verbal representations about his compensation. Defendant argues that the allegations are irrelevant since they are barred by the integration clause and the parol evidence rule. As discussed above, the parol evidence may be admissible to support a fraud cause of action. (CCP § 1856(f), (g); Riverisland, supra, 55 Cal.4th 1169, 1174-75.)

Accordingly,
the motion to strike is DENIED as to these allegations.

Motion
to Strike – Attorneys’ Fees under § 17200

Defendant moves to strike the request for attorneys fees in connection with the Bus. & Prof. Code § 17200 claim. The request for fees under Bus. & Prof. Code section 17200 is unsupported. Plaintiff cites no authority that he may recover fees in connection with such a claim.

Accordingly, the motion to strike is GRANTED as to
this request.

Motion
to Strike - Punitive Damages

Civil Code section 3294 permits
punitive damages where there are allegations of “Fraud”, meaning “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code § 3294(c)(3).) As discussed, the FAC states a claim for fraud.

Accordingly, the motion to strike is DENIED as to the
request for punitive damages.

Defendant to file an answer within 20 days.